your money among different investments, so you do not have all your eggs in one basket. If every penny you have is invested in one company, then you are not diversified, and you are exposing yourself to huge risk. Instead of investing all of your money into a single stock, it is much safer to invest your money in a variety of stocks in different sectors. A business sector is the field the business is in: tech, pharmaceuticals, construction, and so on. You do not want all your money invested in a single company, nor do you want all your money invested in a single sector.

Stocks, unfortunately, can be very expensive. A single share of Amazon stock today might cost a huge chunk or all of your savings. This is where a **mutual fund** can help. A mutual fund is a type of investment that pools your money with many other people to invest in a variety or bundle of things, usually in a specific sector. For example, let's say you and two friends each have $200 and want to buy some tech stocks. You would love to have one share of Facebook ($300 per share), one share of Apple ($100 per share), and one share of Microsoft ($200 per share). Individually, you do not have enough money to buy one share of each of these stocks; but if all of you combine your money, you can afford to buy one share of each, which would be split among the three of you. Now, each of you owns one-third of a share of those stocks. This is how a mutual fund works, but on a much larger scale with many more people, and a professional investor chooses which investments to make.

Mutual funds are great because they allow you to invest in stocks you would not be able to afford on your own, and they help keep you diversified by putting your money into different stocks instead of all into one stock. On one hand, you will not gain as much with a mutual fund if one company's stock soars, but you will also not lose as much if one company's stock drops. Mutual funds are operated by professional money managers who decide